



# Child Critical Illness pricing

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- Balance between cover and price
- Pricing for claims we expect to pay
- Pricing method
- Charging the right people
- Child CI special cases





**RGA**

**Balance between cover and price**

# The discussion going on in every marketing department

**Level of cover?**

**Sales**



**Price**





**Pricing for claims that we expect to pay**



# What claims do we expect to pay?



What if it was travel insurance?



**But this is a child...**

Heart strings

Emotions

Difficult  
situations

**...There are of course  
exceptions to every rule!**



## **Pricing method for Child CI & charging the correct policies**





# Pricing Child CI

- CI Basis: Based on claims experience (by age), adjusted for future trends

## Definition wording

- Look at wording sent by client
- Have we priced this wording before?



## Chat to CMO

- They can advise us on the medical side
- What sort of illnesses would they expect to see under that definition
- Is the definition wording tight enough?

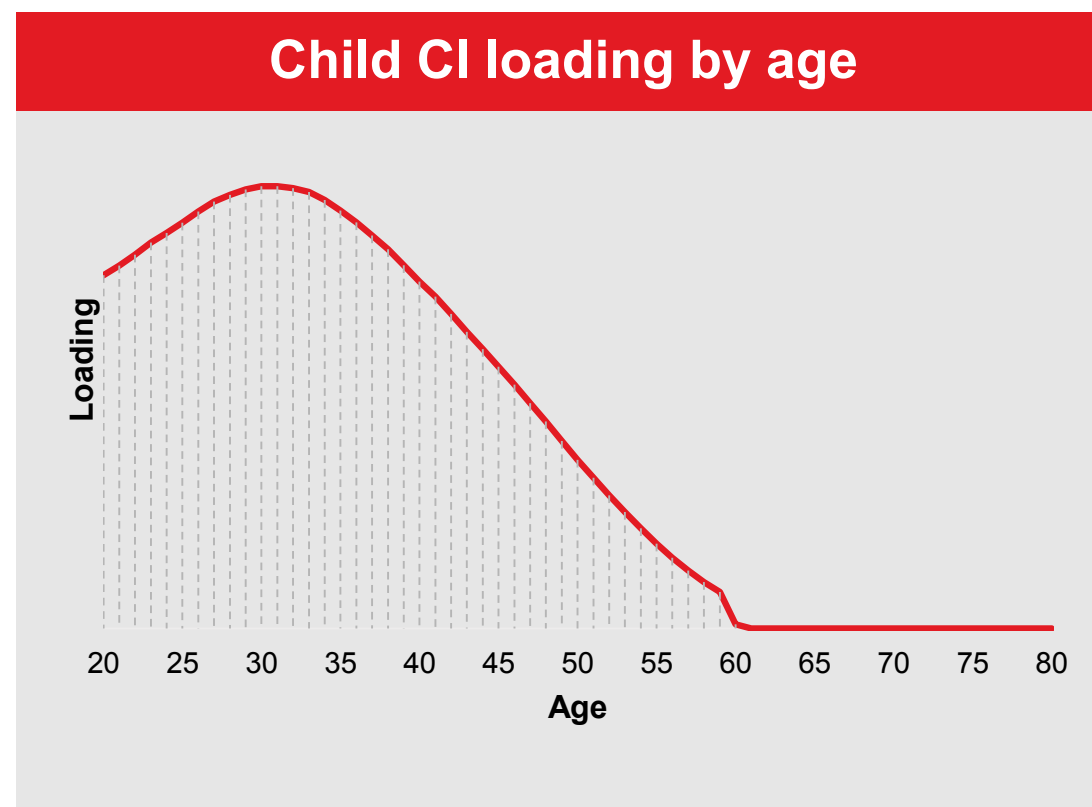


## Incidence rates

- Adjust incidence rates that we've got to allow for severity of definition wording
- Allow for insured population

# Charging the right people

- Flat charge
- Expected age of parent to have children
- Shaped loading





## Child CI Special Cases



# Special cases

## Age at start of cover

- 0 or 30 days?
- Cost is very different
- Most illnesses will occur before the age of 30 days

## Child specific illnesses

- Cystic Fibrosis
- Downs syndrome
- Lots of CMO input for these illnesses

## Survival Period

- Causes issues
- Death is more likely than Child CI in a lot of cases
- Child death benefit?

**Thank you for listening...**

**Any questions?**



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